Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Management Ownership Requirements
Include Modeled Scores : Yes

Management Ownership Requirements

Question

Does the company have specific stock ownership requirements for the CEO and other members of its executive committee?

Rationale

As corporate governance systems aim to ensure that a company is managed in the interests of its shareholders, in this question we assess whether there are stock ownership guidelines in place for the company's CEO and other executives. Academic research (e.g. Bhagat and Bolton 2008) suggests that stock ownership by senior management is positively correlated to future operating profit.

Performance Summary	
Question Level Company Performance	0
Question Weight	6
Year-on-Year Change	0
Industry Average Score	6
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Data Requirements

The question assesses if there are explicit requirements indicating that the CEO and/or other executive managers are required to build up share ownership equivalent to a specific multiple of their annual base salary.

Disclosure Requirements

Listed and/or publicly owned companies are required to provide links to public reports or corporate websites.

Non-listed companies are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and Privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to report on their corporate governance in the public domain as their key stakeholder is the general public.

Exceptions to the Standard Methodology for Non-Listed companies:

The definition of shares includes non-tradable stock and phantom/synthetic shares that replicate the company's share practice performance.

Phantom / synthetic shares: A phantom stock is an employee benefit plan that gives selected employees (senior management) many of the benefits of stock ownership without actually giving them any company stock. This is sometimes referred to as shadow stock. Phantom stock, also known as synthetic equity, has no **inherent** requirements or restrictions regarding its use, allowing the organization to use is however it chooses.

References

Academic research (e.g. Bhagat and Bolton 2008) shows that stock ownership of senior management is positively related to future operating profit. Others:

- Core & Larcker (2000). Performances consequences of mandatory increases in executive stock ownership.
- Gugler, Mueller, & Yurtoglu (2008). The Effects of Ownership Concentration and Identity on Investment Performance: An International Comparison

Standards & Frameworks

IRIS+ - OI5660

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company's specific stock ownership requirements for the CEO & members of the executive committee	Not measured
CEO's share ownership requirement	Not measured
Multiple of basic salary that the CEO is required to build share ownership for	Not measured
Other Executives' share ownership requirement	Not measured
Multiple of basic salary that other members of executive committee are required to build share ownership for	Not measured

Questionnaire

Does your company have specific stock ownership requirements for the CEO and other members of your executive committee? Please indicate where this information is available:

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Listed companies are required to provide links to public reports or corporate websites.

Non-Listed companies may provide internal documents and/or links to public reports or corporate websites.

1. ○ Yes, there are specific requirements in place. Please indicate at which levels this exist and indicate the share ownership requirements as a multiple of the annual base salary.
    1. ☐ The CEO has to build up a share ownership of
       Not measured
       times the annual base salary
    2. ☐ Other members of the executive committee besides the CEO have to build up a share ownership of
       Not measured
       times the annual base salary
2. ○ No, there are no share ownership requirements or we do not report on this following the disclosure requirements of this question.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.